

EQUITY RESEARCH · COMPANY DEEP DIVE

Micron Technology, Inc. (MU.US)

Technology · Semiconductors

Large Cap (>\$200B) · Report Date: June 26, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-06-26

BUY

Blended Target: \$1382.57

DCF + Comps + Analyst (see cross-check table)

Implied upside: +22.1%

Price (Jun): \$1132.33

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$1382.57 (+22.1% vs \$1132.33); Comps 80% + Analyst 20% valuation after outlier checks.
- Modest revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Micron Technology, Inc. (MU) — Technology. Micron Technology, Inc. designs, develops, manufactures, and sells memory and storage products in the United States, Taiwan, Japan, Mainland China, Hong... **BUY** rating; blended target \$1382.57. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.28T	Shares Out.	1129.4M
52-Week Range	\$103.38 – \$1255.00	P/E (TTM)	25.6x
P/B	17.6x	Beta	2.17
Avg Volume	51.58M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$90.27B	Rev Growth	+3.5%
Op. Margin	80.4%	FCF (TTM)	\$1.67B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	25,111	37,378	38,670	39,896	41,080
Revenue Growth (%)	N/A	48.9%	3.5%	3.2%	3.0%
Net Income (\$M)	778	8,539	8,834	9,114	9,385
Net Income Growth (%)	N/A	997.6%	3.5%	3.2%	3.0%
Gross Margin (%)	22.4%	39.8%	72.6%	72.6%	72.6%
Net Margin (%)	3.1%	22.8%	22.8%	22.8%	22.8%
ROE (%)	1.7%	15.8%	16.3%	15.3%	15.0%
EPS (\$)	0.69	7.56	7.82	8.07	8.31
Book Value / Share (\$)	39.96	47.96	47.96	52.88	55.52
P/E (x)	1643.76	149.77	144.76	140.31	136.27
P/B (x)	28.34	23.61	23.61	21.42	20.40
Dividend Yield (%)	4.0%	4.0%	4.0%	4.0%	4.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$17.05	-98.5%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	\$2685.50	+137.2%	—	Peer median P/E 60.6x
Comps — EV/EBITDA (peer median)	\$741.92	-34.5%	—	Peer median 45.6x
Comps — P/S (peer median)	\$1386.95	+22.5%	—	Peer median P/S 17.4x
Comps — Blended (avg. of available multiples)	\$1386.95	+22.5%	80%	Included in blend
Analyst consensus (Yahoo Finance)	\$1365.08	+20.6%	20%	Included in blend
Blended target (weighted)	\$1382.57	+22.1%	100%	Comps 80% + Analyst 20%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	15.95%
Terminal g	4.00%
FCFE growth	9.40%
Base FCFE	\$1.67B
PV explicit (5Y)	\$7.57B
PV terminal	\$11.69B
Equity value (adj.)	\$19.26B
Implied price	\$17.05
vs. current	-98.5%

INDUSTRY ANALYSIS

1. Industry Overview

Micron Technology, Inc. designs, develops, manufactures, and sells memory and storage products in the United States, Taiwan, Japan, Mainland China, Hong Kong, Europe, and internationally. It operates through the Cloud Memory Business Unit; Core Data Center Business Unit; Mobile and Client Business Unit; and Automotive and Embedded Business Unit segments. The company provides memory products,...

2. Key Trends

- Moderate revenue expansion (3.5% YoY)
- High operating leverage (80.4% margin)
- Above-market volatility (β=2.17)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AMD	Advanced Micro Devices	\$850.49B	175.0x	115.7x	13.4%	+37.8%
INTC	Intel Corporation	\$644.94B	N/A	48.9x	-5.9%	+7.2%
QCOM	QUALCOMM Incorporated	\$199.62B	20.4x	17.0x	22.3%	-3.5%
AVGO	Broadcom Inc.	\$1.74T	60.6x	42.3x	38.8%	+47.9%
MU*	Micron Technology, Inc	\$1.28T	25.6x	19.8x	55.9%	+3.5%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Modest revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.